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by [Ali Alzahmi](#) - Monday, 19 May 2025, 7:32 PM

Reflecting on the TSB Bank system failure and the impact of digital transformation on the financial industry has enhanced my understanding of the importance of striking a balance between modernisation and stability. In my first post, I highlighted the problems that can arise when a digital upgrade is rushed without preparing staff, processes, and systems (Bacheva & Raposo Grau, 2025). The TSB issue was more significant than a technical error; it led to a severe crisis for the company, harmed millions of customers, compromised their privacy, and damaged the business and its image.

What I valued was that my peers offered a wide variety of perspectives, prompting me to think further and broaden the scope of my work. Fahad supported my point by explaining that a simple technology problem ultimately damaged the company’s strategy due to the negative public response. He added that since top executives left, it showed how seriously the organisation was struggling with digital risk control (Mehdiabadi et al., 2022). This highlighted the importance of incorporating customer needs into new developments, making me aware that digital problems can impact every aspect of a business and its reputation.

Flamerzi added that the TSB might have minimised risk by phasing out the system over time, testing it, and actively monitoring it. Her argument that privacy-by-design should be used in the first phase to avoid breaches helped me value following rules and moral habits in the digital banking industry (Ahmed et al., 2024). She said that, for this reason, organizations must act swiftly to undo changes and inform customers promptly. I agree with Koulthoum’s view that being prepared for challenges means focusing equally on employees, customers, and technology.

Additionally, Ali Yousef Ebrahim emphasised the importance of reviewing an organization's maturity in each layer before initiating a substantial digital transformation. Sandbox testing and side-by-side launches are among the many resilience approaches he advised banks to implement. Ali discussed how effective communication in an emergency can help maintain customer confidence in the service (Alojaiman, 2023). By highlighting that security must be integrated into every part of a transformation, rather than being considered only after the fact, he demonstrated that building digital trust depends more on forethought and responsibility, not just on skills and technology.

Working with my peers made me realize that digital transformation in banking can be seen as a challenge that affects both technology and society as a whole. While Industry 4.0 enhances the way businesses operate, Industry 5.0 emphasises the importance of employees, trust, and flexibility in any development (EY, 2020). The TSB case cautions that upgrading to digital systems can pose risks if an organisation fails to address these issues.

It is clear from this discussion that more is needed for digital transformation than just using new tools. Effective governance, thorough testing, involving stakeholders, and consistently putting customers first are all essential requirements. I am now sure that organisations should focus on balancing technology with human needs while developing their digital strategy. Lessons from TSB’s mistakes enable financial institutions to be ready for digital operations and maintain their customers’ trust.

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